

Salary Head

Question 1.

[PYQ Dec-23 for 9 Marks]

Srivatsan joined Mercury Ltd. on 1st July 2024 as General Manager. He furnishes below his salary details for the year ended 31st March, 2025.

Particulars	(₹)
Basic salary	18,00,000
Dearness allowance (50% eligible for retirement benefits)	12,00,000
Reimbursement of actual medical expenditure or the employee's family.	60,500
Gymkhana club membership fee paid by the employer	39,500
Laptop and mobile phone provided by the employer (cost ₹ 90,000 and ₹ 60,000 respectively) to be used both for personal and official use	
Mobile phone bills paid by the employer	29,400
Tax on non-monetary perquisite paid by the employer	35,000
Rent-free accommodation at Delhi owned by the employer provided for a monthly rent of ₹ 15,000 to the employee Srivatsan.	
Furniture provided in the accommodation costing ₹ 5 lakhs was taken on hire by the employer and actual hire charges are ₹ 1,20,000 per annum.	
Motor car owned by the employer was used both for official and personal use. Entire running expenditure met by the employer being ₹ 1,40,000	
Actual cost of motor car was ₹6 lakhs which was acquired on 01.07.2021 by the company.	

Compute salary income of Srivatsan for the assessment year 2025-26, Give brief reasons to support your calculations.

Solution

Computation of salary income of Srivatsan for the Asst. Year 2023-24

Particulars	(₹)
Basic salary	18,00,000
Dearness allowance	12,00,000
Reimbursement of actual medical expenditure of the employee's family - it is a taxable perquisite	60,500
Gymkhana club membership fee paid by the employer - it is a taxable perquisite	39,500
Rent-free accommodation at Delhi owned by the employer	3,60,000
Add: Furniture hire charges paid by the employer	90,000
	4,50,000
Less: Amount recovered from employee	1,35,000

		3,15,000
Motor car owned by the employer used both for official and personal use:		
Motor car with cubic capacity up to 1.6 litres:		
Perquisite value	16,200	
Perquisite value	24,300	
OR		
Motor car with cubic capacity above 1.6 litres		
Perquisite value	21,600	
Perquisite value	29,700	

Question 2.**[PYQ June-23 for 9 Marks]**

Sekhar employed as Chief Engineer in Kohli Co Ltd, Mumbai furnishes the following information relating to the financial year 2024-25 -

Particulars	(₹)
Basic Salary	2,00,000 p.m
Dearness Allowance (forms part of retirement benefit)	1,00,000 p.m
Production Commission (annual payment)	5,00,000
Bonus	3,00,000
Mobile phone bills reimbursed by employer (Used for both personal and official purposes)	47,000

Rent-free accommodation provided by the employer. Rent paid to owner by the employer ₹ 4,80,000 for the previous year 2024-25.

Amount of expenditure incurred by employer for 1-week training in Germany for travel, stay and food expenses ₹ 5,00,000

Contribution of employer to recognized provident fund and approved superannuation fund @12% each of basic salary and DA.

During the year he was transferred to a factory located in Chennai and was provided hotel accommodation from 1st May, 2024 to 30th June, 2024. The cost of accommodation was ₹ 60,000 per month. He continued to retain his rent-free accommodation at Mumbai during the said period.

He is provided with a motor car (engine cubic capacity 1.6 litres) for exclusive personal use for the entire previous year. Expenditure towards running and maintenance met by employee. Actual cost of motor car ₹ 6 lakhs acquired on 10th April, 2022 by the employer. Actual expenditure incurred by employee during the year ₹ 51,000

Compute from salary of Sekhar for the assessment year 2025-26. Assume that he has opted for section 115BAC.

Solution**Computation of income under the head "salaries" of Mr. Manas for the A.Y. 2025-26**

Particulars	(₹)
Basic Salary [$₹ 2,00,000 \times 12$]	24,00,000
Dearness Allowance [$₹ 1,00,000 \times 12$]	12,00,000
Production Commission	5,00,000
Bonus	3,00,000
Mobile phone bills reimbursed by employer (Used for both personal and official purposes)	47,000
Rent free accommodation [working note]	4,45,000
Training expenses	Nil
Employer's contribution to RPF (upto 12% of salary)	Nil
Employer's contribution to approved superannuation fund	Nil
Hotel accommodation	1,20,000
Motor car facility [working note]	60,000

Working Note -**Value of rent-free accommodation**

Particulars	(₹)
Basic salary	24,00,000
Dearness Allowance	12,00,000
Production Commission	5,00,000
Bonus	50,000
Commission	3,00,000
Salary for valuation of rent-free accommodation	44,50,000
10% of salary	4,45,000
Hire charges paid	4,80,000
Lower	4,45,000

Value of motor car facility

$₹ 6 \text{ lakhs} \times 10\% = ₹ 60,000$

Gross salary income for the A.Y. 2023-24 = ₹ 50,54,000

Question 3.**[PYQ June-23 for 8 Marks]**

Ms. Gita (aged 46 years) is a manager in Sun Pvt. Ltd. She has given the details of her income for the previous year 2024-2025. **You are required to calculate the income chargeable to tax under the head salaries in the hands of Ms. Gita from the details given below. Ms. Gita does not opt to be taxed under section 115BAC.**

Particulars	(₹)
Basic salary	7,20,000
Dearness allowance @ 20% of basic salary (does not form part of salary for retirement benefits)	1,44,000
Bonus	2,52,000
Entertainment allowance	9,000
Profession tax (of this, 50% paid by the employer)	4,000
Medical allowance	18,000
Life insurance premium of Ms. Gita paid by employer	26,000
Corporate membership of a club. The initial fee of ₹ 50,000 was paid by the employer. Ms. Gita paid the bills for her use of club facilities.	
Motor car owned by the employer, which was provided to Ms. Gita, both for official and personal use. Driver was also provided. (Engine cubic capacity more than 1.6 litres). All expenses are met by the employer.	
Laptop provided for use at home. Actual cost of laptop to employer (children of Ms. Gita are also using the laptop at home)	50,000
Annual credit card fees paid by employer (credit card is not exclusively used for official purposes; details of usage are not available)	7,000

Solution

Income from salary of Ms Gita for the A.Y.2023-2024 = ₹ 11,63,600

Question 4.**[PYQ Dec-24 for 7 Marks]**

Mr. Kaul, aged 60 years, retired from a private company on 1st February, 2025. He served as a General Manager in this company for 25 years and 6 months. He was drawing a basic salary of ₹ 95,000 p.m. since 1st January, 2023, dearness allowance of 12% of basic salary (30% forms part of the salary for retirement benefits). He received the following emoluments upon retirement -

- (i) Gratuity - ₹ 25,00,000 (he is covered by the Payment of Gratuity Act.)
- (ii) Leave Salary - ₹ 12,00,000
(He was entitled to 2 months leaves per year of service. He took a total of 12 months leave).
- (iii) Commuted pension - ₹ 4,50,000

You are required to compute his income chargeable under the head 'Salary' for the Assessment Year 2025-26 assuming he opted out of default tax regime under section 115BAC of the Income Tax Act, 1961.

Solution

Question 5.**[SM]**

Mr. Bharat of Siliguri is offered an employment by Vimal & Co. Ltd., Kolkata on a basic salary of ₹ 5,500 p.m. Other allowances are dearness allowance (not forming part of salary for retirement benefits) ₹ 4,000 p.m., medical allowance ₹ 1,000 p.m. and bonus being 1 month's basic salary. The company gives an option to him either to take a rent-free accommodation in Kolkata of the fair rental value of ₹ 1000 p.m. or to accept a cash house rent allowance of ₹ 1,000 p.m. He decides to accept house rent allowance and takes a house in Kolkata at a monthly rent of ₹ 1,000. He has opted for old regime

Do you think he has made a wise choice from tax advantage view? State reasons.

Solution

Computation of Gross Taxable Salary of Mr. Bharat for the A.Y.2024-25

Particulars	(₹)	When he takes HRA		When he takes RFA	
		(₹)	(₹)	(₹)	(₹)
Basic			66,000		66,000
Bonus			5,500		5,500
Dearness allowance			48,000		48,000
Medical allowance			12,000		12,000
HRA		12,000			
Less: Minimum of the following					
a) Actual amount received	12,000				
b) 50% of salary	33,000				
c) Rent paid over 10% of salary	5,400	5,400	6,600		Nil
Rent free accommodation (being 10% of salary)			Nil		8,350
Gross Taxable Salary			1,38,100		1,39,850

Note - Salary for the purpose –

Particulars	Accommodation	HRA
Basic salary	66,000	66,000
Medical Allowance	12,000	–
Bonus	5,500	–
Total	83,500	66,000

Comment -

The above computation indicates that if the assessee chooses rent-free accommodation, then his gross taxable salary increases by ₹ 1,750 (being ₹ 1,39,850 – ₹ 1,38,100), which may increase his tax bill. Hence, assessee has taken right decision.

Question 6.

[MTP'2 Dec-18 for 8 Marks]

From the following particulars, compute the total income of Mr. Hari for the A.Y. 2025-26.

Mr. Hari, an employee of the Central Government retired on 30.6.2024. His salary from 1.4.2024 was ₹ 5,000 per month. On retirement, he received provident fund ₹ 80,000 and gratuity ₹ 5,10,000 and received ₹ 50,000 through encasing his 12 months earned leave. He started getting his pension @ ₹ 1,000 per month from 1.7.2024. From 1.12.2024, Mr. Hari joined Raj Ltd., Kolkata on a salary of ₹ 4,000 per month. The company provided him a rent-free accommodation (unfurnished) and a self-driven car (1.6 cc) for which all expenses are borne by the company.

Solution

Computation of Taxable Income of Mr. Hari for the A.Y. 2025-26

Particulars	Govt. employee		Non-Govt. employee		Total
	(₹)	(₹)	(₹)	(₹)	(₹)
Basic salary	5,000 × 3	15,000	4000 × 4	16,000	31,000
Gratuity u/s 10(10)	Not Taxable	Nil			Nil
Leave encashment	Not Taxable	Nil			Nil
Uncommuted pension	1,000 × 9	9,000			9,000
Provident fund	Not Taxable	Nil			Nil
Rent-free accommodation			15% of 20,000	3,000	
Car facility			Not a specified employee		3,000
Taxable Salary					43,000

Note –

Salary for the purpose of accommodation –

Particulars	(₹)
Basic	16,000
Pension	4,000
Total	20,000

While calculating salary for the purpose of rent-free accommodation, salary from all sources shall be included during the period for which accommodation has been provided.

Question 7.**[MTP'2 Dec-20 for 10 Marks]**

Mr. Jitin Ahuja is employed with a transport firm. He is member of an unrecognized provident fund. He has been drawing salary @ ₹ 32,000 p.m. since 01.07.2024. Dearness allowance, forming part of pay for superannuation benefits, is paid @ 10% of his salary. He gets house rent allowance ₹ 4,800 p.m. He pays rent of ₹ 8,000 p.m. He contributes @ 10% of his salary to the fund and employer contributes @ 20%. The employer also reimburses his personal club bills amounting to ₹ 76,000. Besides, he is paid ₹ 1,600 p.m. as transport allowance.

He retires on 01.01.2025 after 28 years 9 months of service. He gets ₹ 3,18,000 as accumulated balance from the provident fund. It consists of ₹ 60,000 as his contribution and ₹ 46,000 interest there on. The employer's contribution is ₹ 1,22,000 and interest there on is ₹ 90,000. He also gets gratuity of ₹ 9,20,000.

After retirement he gets pension @ ₹ 12,000 p.m. on 01.03.2025 he surrenders one half pension for a consolidated amount of ₹ 4,80,000.

He has made the following payments/investments during the previous year 24-25 -

- Life insurance premium amounting ₹ 8,000 on the policy taken on the life of his married son.
- Public Provident fund deposit ₹ 20,000.
- Refund of ₹ 40,000 to the Life Insurance Corporation of India on account of loan taken for the purchase of a flat, allotted in March, 2010.
- Purchase of National Savings Certificates, VIII issue, amounting to ₹ 12,000
- Contribution of ₹ 20,000 to Sukanya Samriddhi Account.

From the above information you are required to compute his total income for the assessment year 2025-26 and his tax liability. Assume he has shifted to the old regime.

Solution**Computation of Total income & Tax Liability of Mr. Ahuja for the A.Y. 2025-26**

Particulars	(₹)
Income from Salary -	
Salary (₹ 32,000 x 9)	2,88,000
D.A. 10% of salary	28,800
Club Bills reimbursed by employer	76,000
H.R.A. (₹ 43,200 - ₹ 40,320) [WN - 1]	2,880

Transport Allowance [(₹ 1,600 x 9) i.e. ₹ 14,400 - exemption 70%]	4,320
Pension (₹ 12,000 x 2 + 6,000 x 1) [WN - 2]	30,000
Commuted Pension (Rs. 4,80,000 X 3,20,000)	1,60,000
Gratuity (₹ 9,20,000 - ₹ 4,92,800) [WN - 3]	4,27,200
Employer's contribution of URPF	1,22,000
Interest on Employer's contribution of URPF	90,000
Gross salary	12,29,200
Less: Standard Deduction u/s 16(ia)	50,000
Income from salary	11,79,200
Income from Other Sources	
Interest received on own contribution URPF	46,000
Gross total income	12,25,200
Less: Deduction U/s 80C	1,00,000
Total income	11,25,200
Tax on ₹ 11,25,200 is	1,50,060
Add: Health and education cess @4%	6,002
Tax payable (rounded off)	1,56,060

Working Note -

(1) HRA is exempt to the extent of least of following -

	Particulars	(₹)
(i)	Actual HRA received	43,200
(ii)	Rent Paid - 10% of salary of ₹ 3,16,800 (₹ 72,000 - ₹ 31,680)	40,320
(iii)	40% of salary ₹ 3,16,800	1,26,720

Therefore, ₹ 40,320 will be exempt.

- (2) Commuted pension will be exempt to the extent of commuted value of $1/3^{\text{rd}}$ of the pension as the assessee is also entitled to gratuity. The exemption amount will be $(₹ 4,80,000 \times 2 \times 1/3) = ₹ 3,20,000$.
- (3) Assuming that he is not covered under the Payment of Gratuity Act, out of gratuity received the least of the following shall be exempt -

	Particulars	(₹)
(i)	Actual gratuity received	9,20,000
(ii)	Specified amount	20,00,000
(iii)	Half month's average salary for every completed year of service i.e. $(28 \times 1/2 \times 35,200)$	4,92,800

Therefore, ₹ 4,92,800 will be exempt.

(4) The following payment qualify for deduction u/s 80C

	Particulars	(₹)
(i)	LIC Premium	8,000
(ii)	PPF	20,000
(iii)	Sukanya Samriddhi Account	20,000
(iv)	Repayment of housing loan	40,000
(v)	Purchase of NSC VIII Issue	12,000
	Total deduction u/s 80C	1,00,000

